Self-examination questions



I Multiple choice questions

Choose the correct answer

1. A partner retires from the partnership firm on 30th June. He is liable for all the acts of the firm up to the

(a) End of the current accounting period

(b) End of the previous accounting period

(c) Date of his retirement

(d) Date of his final settlement

2. On retirement of a partner from a partnership firm, accumulated profits and losses are distributed to the partners in the

(a) New profit sharing ratio (b) Old profit sharing ratio

(c) Gaining ratio (d) Sacrificing ratio

3. On retirement of a partner, general reserve is transferred to the

(a) Capital account of all the partners

(b) Revaluation account

(c) Capital account of the continuing partners

(d) Memorandum revaluation account

4. On revaluation, the increase in liabilities leads to

(a) Gain (b) Loss

(c) Profit (d) None of these

5. At the time of retirement of a partner, determination of gaining ratio is required

(a) To transfer revaluation profit or loss

(b) To distribute accumulated profits and losses

(c) To adjust goodwill

(d) None of these

6. If the final amount due to a retiring partner is not paid immediately, it is transferred to

(a) Bank A/c (b) Retiring partner's capital A/c

(c) Retiring partner's loan A/c (d) Other partners' capital A/c

7. 'A' was a partner in a partnership firm. He died on 31st March 2019. The final amount due to him is ₹ 25,000 which is not paid immediately. It will be transferred to

(a) A's capital account (b) A's current account

(c) A's Executor account (d) A's Executor loan account

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